CASCADIA ANALYTICS

INVESTMENT SCORECARD

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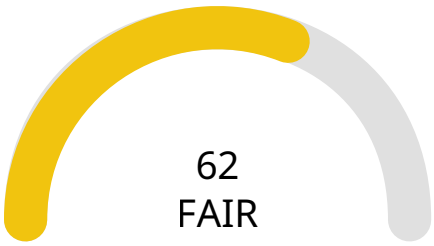
Union Pacific Corporation (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$287.61 [Mkt 16-Oct-26]

Market Cap: $171.7B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Premier North American railroad with 29% net margins and 38% ROE. Pricing power through economic cycles. The moat is the physical network.

2. Recent Trend — 70

Q2 beat on EPS and revenue, record productivity metrics, sixth straight quarter of pricing gains. But carload volume is flat; growth is price, not volume.

3. Forward Growth — 55

Freight volumes track industrial production; low-single-digit growth at best. The NSC merger is the growth story but faces regulatory risk and integration complexity.

4. Valuation — 40

At $287.61 vs $191.04 DCF base (-34% upside), the stock is materially overvalued. NTM P/E 20.3x and PEG 2.87 are full for a low-growth railroad. Terminal value is the Gordon perpetuity alone at 2.5% growth on terminal-year free cash flow. The EV/EBITDA exit leg on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $156.3B and the exit leg is $234.1B. At the model's terminal discount rate the exit leg implies 4.27% perpetual growth against the 2.5% assumed, and the growth-consistent exit multiple is 9.7x against the 14.5x used. The present value of terminal value is about 78% of

enterprise value. Cash flows are unlevered and are discounted at a weighted WACC of 7.98%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights.

5. Catalysts & Risk 65

Q3 earnings Oct 22 is the near-term test. NSC merger is two-sided: transformational if approved, a major overhang if blocked. Volume softness is the risk.

Investment Thesis

- **Best Railroad, Full Price:** Union Pacific is the premier North American railroad: 29% net margins, 38% ROE, six straight quarters of pricing gains, record productivity. The operating quality is unquestioned [8-K Q2 2026].
- **Merger Is the Story:** The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains [8-K].
- **Overvalued on DCF:** At $287.61 [Mkt 16-Oct-26], the stock is 32% above our $191.04 DCF base. Quality deserves a premium, but the current price assumes the merger closes smoothly and volumes recover.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$6.86B [8-K Q2 2026]	+11.5% [8-K Q2 2026]	Up
EPS (Q2 2026)	$3.41 [8-K Q2 2026]	+12.5% [8-K Q2 2026]	Up
Operating Ratio	~59% [8-K Q2 2026]	-1.1 pts [8-K Q2 2026]	Down
Net Margin	28.9% [8-K Q2 2026]	+1.0 pts [8-K Q2 2026]	Up
Return on Equity	38.5% [8-K Q2 2026]	n/a [n/a]	Up
Revenue (FY25)	$24.5B [10-K FY25]	+1.0% [10-K FY25]	Up
Net Income (FY25)	$7.14B [10-K FY25]	+5.8% [10-K FY25]	Up

Historical Financial Trend

Metric	FY21	FY22	FY23	FY24	FY25
Revenue	$21.8B [10-K FY21]	$24.9B [10-K FY22]	$24.4B [10-K FY23]	$24.3B [10-K FY24]	$24.5B [10-K FY25]
Op Ratio	57.2% [10-K FY21]	60.1% [10-K FY22]	62.3% [10-K FY23]	58.9% [10-K FY24]	58.5% [10-K FY25]
Net Margin	29.9% [10-K FY21]	28.0% [10-K FY22]	26.1% [10-K FY23]	27.8% [10-K FY24]	29.1% [10-K FY25]

Valuation

Absolute (3/10)

NTM P/E 20.3x [Mkt 16-Oct-26]
DCF Base $191.04 vs $287.61 spot [Mkt 16-Oct-26]
PEG 2.87 [Mkt 16-Oct-26]

DCF implies 34% downside. PEG of 2.87 is expensive for low-single-digit growth.

Versus Peers (5/8)

CSX 27x, NSC 27x NTM P/E [Peers 16-Oct-26]

In line with Class I peers, all of which look full.

Versus History (4/7)

Trading near the high end of historical multiples [Mkt 16-Oct-26]

Merger speculation supports the premium; fundamentals alone do not.

Catalyst Timeline

Oct 22, 2026 [Cons]
Q3 2026 Earnings: consensus $3.47 EPS on $7.12B revenue. Operating ratio is the key metric.

2026-2027 [8-K]
Norfolk Southern merger regulatory review; STB application expected after Oct 29.

2027 [8-K guid]
Pricing gains and productivity initiatives target continued OR improvement.

Top Risk Factors (Item 1A)

1. Merger Regulatory Risk: STB may block or condition the NSC merger; a rejection would remove the primary growth catalyst. [10-K FY25]

2. Economic Sensitivity: Freight volumes are economically sensitive; a recession hits carloads across all segments. [10-K FY25]

3. Leverage: Debt/equity of 1.72x limits financial flexibility for the merger and buybacks. [10-K FY25]

What Would Change Our Score

STB approval of the NSC merger would add a strategic premium. A Q3 volume miss or merger rejection would cut Growth and Catalysts.

Forward Growth Drivers

- Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record [8-K Q2 2026]
- Best-ever workforce productivity, fuel consumption, terminal dwell [8-K Q2 2026]
- Proposed Norfolk Southern merger creates first transcontinental railroad [8-K]

Missing / Modified Data Log

- Quarterly operating ratio sourced from earnings releases; annual from 10-K.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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